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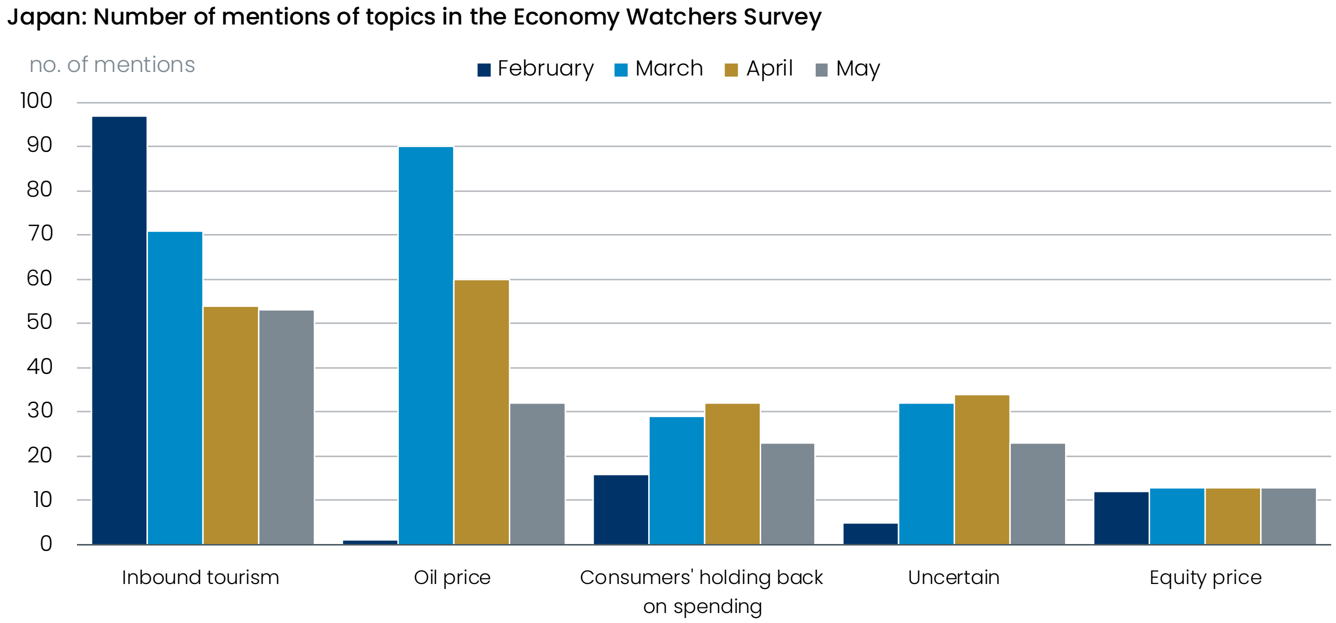
Rate hike tests Japan's fragile sentiment recovery

- The Bank of Japan raised its policy rate from 0.75% to 1% on Tuesday, arguing that downside risks to the economy have diminished and that there are upside risks to inflation. Indeed, although it's too early to assess the impact of the Middle East conflict on the Japanese economy from the hard data, soft data are showing tentative signs of bottoming out.
- Among the soft indicators, Japan's Economic Watchers Survey provides particularly rich information. It contains both a diffusion index (DI) and qualitative comments from workers in business-cycle-sensitive sectors, such as retail employees and machinery manufacturers. The DI dipped to its lowest level since 2022 in April but has recovered somewhat in the latest May survey, released on June 8.
- Although mentions of oil prices have declined since April, after spiking in March, survey respondents are consistently reporting that consumers are still cautious about spending and referring to high uncertainty.
- But there are optimistic voices too. Several department store managers report that soaring equity prices are underpinning consumption among wealthy households. And strong chip demand appears to be boosting some regional economies.
- Coming up next week, we expect the Bank of Thailand to keep its policy rate at 1%. Meanwhile, Singapore's CPI inflation is likely to have accelerated further in May, with global food prices as the main driver. Taiwan's export orders are likely to remain strong, with headwinds facing traditional sectors expected to ease as tensions in the Middle East subside.

Chart 1: Public attention has shifted away from inbound tourism



Sources: Oxford Economics, Cabinet Office

Norihiro Yamaguchi | Lead Economist | nyamaguchi@oxfordeconomics.com
Artie Lam | Assistant Economist | alam@oxfordeconomics.com

March-May hard data have been mixed

Recent hard data on the Japanese economy have been mixed. The consumption activity index improved in April, but the gain is unlikely to be sustained, given that it was boosted by the tax cut on auto purchases. Exports gained in April-May too, supported by robust AI-related demand.

In contrast, industrial production stayed stagnant in April, dragged by weak battery productions. Tourist arrivals fell in April-May, reflecting a decline in Chinese tourists, leading to weak international tourism receipts.

Japan's Economic Watchers Survey: Voices from real economy

Soft indicators tend to respond quickly to shifts in economic conditions. Among them, the Economic Watchers Survey is a unique monthly survey of workers engaged in business-cycle-sensitive occupations, conducted by the Cabinet Office. Respondents include taxi drivers, retail store workers, public employment office staff, and staff at temp agencies. It acts as a gauge of perceptions about underlying economic conditions, and contains a diffusion index (DI) and comments from respondents. The DI started to deteriorate in March and hit a four-year low in April, but recovered somewhat in May, the latest edition.

Mentions of inbound tourism—typically highlighting weak arrivals from China, which had been one of the main themes before the US-Israel war with Iran—have declined significantly since March (Chart 1). Before the conflict, for example, a convenience store operator in the Tokai region commented in February: "Inbound tourists have declined due to the reduction in flights from China. The impact has been particularly significant in stores located in airports and other venues frequented by tourists."

In March, mentions of concern about rising oil prices, consumers' holding back on spending, and heightened uncertainty rose sharply. In particular, the number of comments on oil – a topic that had attracted almost no attention in February – surpassed mentions of weak inbound tourism. For example, a financial institution employee in Hokuriku region noted: "Crude oil prices have risen sharply due to developments in the Middle East. We are seeing higher fuel costs, along with a deterioration in corporate investment sentiment and household spending intentions."

In May, mentions of oil are at roughly one-third the level in March, but mentions of consumer caution and heightened uncertainty remain elevated. A kimono shop owner in Kinki region commented: "We saw no kimono purchases amid soaring general prices, as they are non-necessity items." And a construction firm owner in Okinawa said: "Uncertainties over the situation in the Middle East are affecting estimates for construction materials and subcontractors."

At the same time, rising equity prices appear to be providing some support. A department store salesperson in Chugoku commented in the May survey that "Rising equity prices are boosting the appetite of customers and leading to stronger demand for high-end products." Similar comments are seen among department store employees across the nation. Given that stock ownership is much more common in higher-income households, the positive spillovers from the equity rally appear to be limited for many retailers and service providers.

Although less frequently mentioned, improving semiconductor demand is another theme of the May survey. For example, a general machinery manufacturer in Kyushu noted: "Orders have been increasing due to strong demand for semiconductor-related equipment." Another general machinery manufacturer in Tokai said: "AI-related capex is still flourishing in North America and Southeast Asia," suggesting a potential spillover to the economy.

The week ahead

We expect the Bank of Thailand (BoT) to keep its policy rate at 1% at its June monetary policy meeting. The bank had previously emphasised that the risks of second-round effects from the energy shock are likely to be limited, allowing it to look through inflation in the short-run. The unexpected easing of inflation in May, coupled with optimism around the US-Iran ceasefire deal, is likely to have supported the BoT's decision to stay on hold.

Singapore's CPI inflation probably rose to 2.1% y/y in May from 1.8%. The increase in global food prices amid the disruption in the Strait of Hormuz was likely the main driver. Lower petrol and diesel pump prices in May as compared to April may have provided some offset. Meanwhile, core inflation is likely to have risen too, although we doubt it climbed to the Monetary Authority of Singapore's soft target of around 2%.

Taiwan's export orders likely continued to show strong momentum, as suggested by the order books and revenue outlook of the leading semiconductor companies. Although the Middle East conflict may have weighed on traditional sectors, such as chemicals and plastics, the recent easing of tensions between the US and Iran should modestly reduce these headwinds in the coming months.

Table 1: Week-ahead calendar

DATE	TIME (SGT)	COUNTRY	EVENT	PERIOD	PREVIOUS	OE FORECAST
23-Jun	13:00	Singapore	CPI y/y	May	1.8%	2.1%
	16:00	Taiwan	Export Orders y/y	May	43.6%	52.8%
	16:30	Hong Kong	CPI y/y	May	1.7%	2.1%
24-Jun	15:00	Thailand	Interest Rate Decision	-	1.0%	1.0%
	16:00	Taiwan	Indst. Prod. y/y	May	14.2%	15.6%
25-Jun	16:30	Hong Kong	Merchandise Exports y/y (HKD)	May	42.9%	33.1%
	16:30	Hong Kong	Merchandise Imports y/y (HKD)	May	44.4%	30.6%
26-Jun	13:00	Singapore	Indst. Prod. y/y	May	17.6%	20.5%

Source: Oxford Economics

Government response tracker

For ease of reference, we've compiled a list of policy measures from key APAC economies in response to the current global energy shock.

Table 2: Key policy measures announced since 28 February (as of 19 June)

ECONOMY	TRADITIONAL MEASURES	NEW MEASURES
Australia	Temporary easing of fuel quality (emissions) standards Release of fuel from national reserves/coordination with IEA stockpiles Fuel excise cut by 50%, plus a three-month pause on road user charges for trucks	A$14.8bn pledged to increase domestic fuel and fertiliser reserves Introduction of a mandatory domestic gas reservation scheme, obliging exporters to supply the domestic market with gas equivalent to 20% of their annual LNG exports AU$1bn allocated to zero-interest loans for SMEs
China	Retail fuel prices capped when international crude exceeds US$130 per barrel, with state intervention to smooth domestic fuel-price increases Direct subsidies to public transport, freight, and logistics operators	Temporary fuel export ban (March), subsequently eased into tight export controls Expansion of coal-to-liquids, coal-to-gas and coal-chemicals capacity to reduce reliance on imported oil Acceleration of domestic energy production, including shale gas development and other energy-security initiatives
Japan	Energy subsidies (fixing gasoline price at ¥170/litre) 80mn barrels released from strategic reserves	Supplementary budget submitted on June 3, including extension of gasoline subsidy and reintroduction of electricity bill subsidies in summer
Hong Kong	HK$3/litre diesel subsidy and 50% toll waivers for commercial vehicles and vessels LPG subsidy of HK$0.50/litre for selected vehicles	
South Korea	Fuel price cap Fuel tax cuts extended Introduced a supplementary budget of KRW26.2tn, which includes consumer vouchers and energy vouchers	Fuel export caps, ban on naphtha exports Lifted coal generation limits and support to raise nuclear utilisation Two-day alternating driving ban for public-sector workers and limits on public parking access
Taiwan	Domestic fuel tax cut Let government-owned CPC absorb losses under a fuel-price smoothing mechanism 6-month freeze to electricity rate from March	Provided targeted support for agriculture and fishing sectors Secured LNG supply to avoid power rationing
India	State-run oil retailers absorbing losses to keep fuel prices steady Export duties on diesel and aviation fuel Higher fertiliser subsidies/support	Refineries to boost LPG output, while rolling out piped natural gas to replace LPG A cap on industry natural gas usage and rationing for commercial LPG use Public appeal to curb fuel/import demand Gold/silver import duties to conserve FX Restriction on diesel sales
Singapore	Quarterly adjustments to regulated electricity tariffs based on recent fuel prices Consumer rebates introduced to help households absorb price rises Diversification of LNG procurement sources and fuel supply arrangements	
Indonesia	Committed to existing fuel price caps for subsidised fuel; non-subsidised fuel prices have been lifted Authorities will stick to the 3% deficit LPG/plastic import duties cut	Daily Pertalite purchases capped at 50 litres/day Free meals programme to undergo cost-cutting 'efficiency' measures Work-from-home arrangements for civil servants
Malaysia	Additional MYR200 in vouchers for diesel from April	Work-from-home arrangements for civil servants

ECONOMY	TRADITIONAL MEASURES	NEW MEASURES
	Cut monthly BUDI95 quota to 200 litres from 300 litres	
Philippines	Targeted subsidies to public transport drivers, farmers and fisherfolk PHP10 per litre subsidies capped at 150 litres per week for public utility vehicles	Mandating four-day work week for selected government offices
Thailand	Oil Fuel Fund utilised to cushion the rising pump prices through subsidies	Full work-from-home arrangements for most government agencies Export ban on refined petroleum products and LPG
Vietnam	Engaged the Fuel Price Stabilisation Fund to cap pump prices through subsidies Various fuel and energy taxes suspended	

Source: Oxford Economics

Key forecasts – as of 19 June

Table 3: Key Macro Forecasts

(%, ANNUAL)	GDP				CPI			
	2024	2025	2026F	2027F	2024	2025	2026F	2027F
Australia	1.0	2.0	1.8	2.1	3.2	2.8	4.4	2.9
New Zealand	-0.3	0.5	1.5	2.8	2.9	2.8	3.6	1.5
China	5.0	5.0	4.8	4.6	0.2	0.0	1.2	1.2
Hong Kong	2.6	3.6	3.7	1.9	1.7	1.4	2.1	1.8
Japan	-0.2	1.1	0.4	0.5	2.7	3.2	2.5	2.6
S Korea	2.2	1.2	2.5	1.9	2.3	2.1	2.8	1.6
Taiwan	5.3	8.8	10.1	3.7	2.2	1.7	1.8	1.8
India	7.2	7.5	6.5	6.7	5.0	2.2	5.1	5.2
Singapore	5.3	5.0	3.4	2.3	2.4	0.9	2.5	2.9
Indonesia	5.0	5.1	5.0	5.0	2.3	1.9	3.5	2.9
Malaysia	5.2	5.2	4.4	4.4	1.8	1.4	2.3	1.8
Philippines	5.7	4.4	3.5	6.0	3.2	1.7	6.0	3.9
Thailand	2.9	2.4	1.8	1.7	0.4	-0.1	2.5	1.6
Vietnam	7.0	7.9	7.2	7.2	3.6	3.3	5.1	3.6

Source: Oxford Economics

Table 4: Monetary Policy Forecasts

(% EOP)	END-25	NOW	NEXT MOVE	END-26F	END-27F
Australia	3.60	4.35	Down 25bps Q4 2027	4.35	4.10
China	1.40	1.40	Unchanged through 2027	1.40	1.40
Japan	0.75	1.00	Up 25bps Q1 2027	1.00	1.50
S Korea	2.50	2.50	Up 25bps Q3 2026	3.00	2.75
Taiwan	2.00	2.00	Unchanged through 2027	2.00	2.00
India	5.25	5.25	Up 25bps Q4 2026	5.75	5.75
Indonesia	4.75	5.75	Up 25bps Q3 2026	6.00	4.50
Malaysia	2.75	2.75	Unchanged through 2027	2.75	2.75
Philippines	4.50	4.75	Up 25bps Q3 2026	5.25	4.25
Thailand	1.25	1.00	Unchanged through 2027	1.00	1.00
Vietnam	3.00	3.00	Unchanged through 2027	3.00	3.00

Source: Oxford Economics

Table 5: Currency Forecasts

(PER US DOLLAR, EOP)	LATEST	Q3 2026F	Q4 2026F	Q1 2027F
Australia	1.43	1.39	1.38	1.38
China	6.76	6.75	6.74	6.74
Hong Kong	7.84	7.79	7.79	7.78
Japan	160.6	158.8	158.1	156.8
S Korea	1,523	1,490	1,479	1,473
Taiwan	31.6	31.0	30.5	29.8
India	95.4	95.4	95.7	95.8
Singapore	1.29	1.28	1.28	1.28
Indonesia	17,753	18,000	17,800	17,700
Malaysia	4.09	3.95	3.85	3.83
Philippines	60.3	60.9	60.4	59.8
Thailand	32.7	32.4	32.4	32.5
Vietnam	26,256	26,600	26,800	26,850

Source: Oxford Economics. As of June 19, 09:00 SGT.

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Contacts

- Adam Ahmad Samdin - Malaysia, Indonesia, and Vietnam - asamdin@oxfordeconomics.com
- Alexandra Hermann Prasad - India - ahermannprasad@oxfordeconomics.com
- Artie Lam - Graduate Economist - alam@oxfordeconomics.com
- Ben Udy - Global Trade and New Zealand - budy@oxfordeconomics.com
- Betty Wang - Greater China - bwang@oxfordeconomics.com
- Harry McAuley - Global Trade and Australia - hmcauley@oxfordeconomics.com
- Harry Murphy Cruise - Global Trade and Australia - hmurphycruise@oxfordeconomics.com
- Jia Yu Lee - Hong Kong and South Korea - jylee@oxfordeconomics.com
- Jun Hao Ng - Philippines and Thailand - jhng@oxfordeconomics.com
- Louise Loo – Regional and Greater China - lloo@oxfordeconomics.com
- Norihiro Yamaguchi - Japan - nyamaguchi@oxfordeconomics.com
- Shigeto Nagai - Japan - shigetonagai@oxfordeconomics.com
- Sheana Yue - Greater China and Singapore - syue@oxfordeconomics.com
- Yongshi Mai - Global Trade and Australia - ymai@oxfordeconomics.com